ENERGY · URANIUM

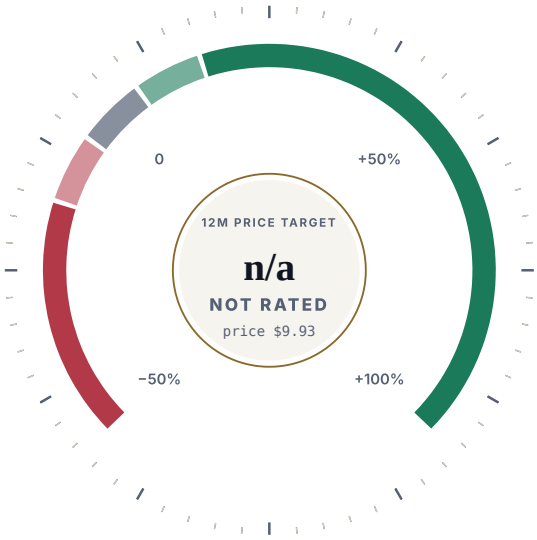
Uranium Energy Corp. UEC

CYCLICAL / COMMODITIES (MID-CYCLE MULTIPLES + DCF)

NOT RATED 12-month horizon · confidence **Low**

INDICATIVE VALUE	EXPECTED TOTAL RETURN
$3.37	n/a
reference only · not a price target	the result only exists inside the guardrail band

FAIR VALUE TODAY	STREET CONSENSUS
$3.37	n/a
$2.57 – $4.33	no consensus available



Price $9.93 · Ke 9.36% · discount rate 9.36% · data: Yahoo snapshot as of 2026-07-08

01 INVESTMENT THESIS

We do **not rate Uranium Energy Corp. (UEC)**: the result only exists inside the guardrail band. The indicative value of $3.37 per share is shown for reference only and should not be read as a call against the current price of $9.93.

Uranium Energy Corp. generated $67mn of revenue at a -110% EBIT margin in the latest fiscal year, having compounded the top line at 42.4% over the historical window. Market capitalisation stands at $4.51bn with $149mn of net cash.

Consensus EPS is negative (−$0.11), so earnings-based lenses do not apply.

Spot margins mislead at both ends of the cycle: value on mid-cycle EBITDA and through-cycle multiples, with forward multiples (scaled for earnings durability) and a mean-reverting DCF as cross-checks.

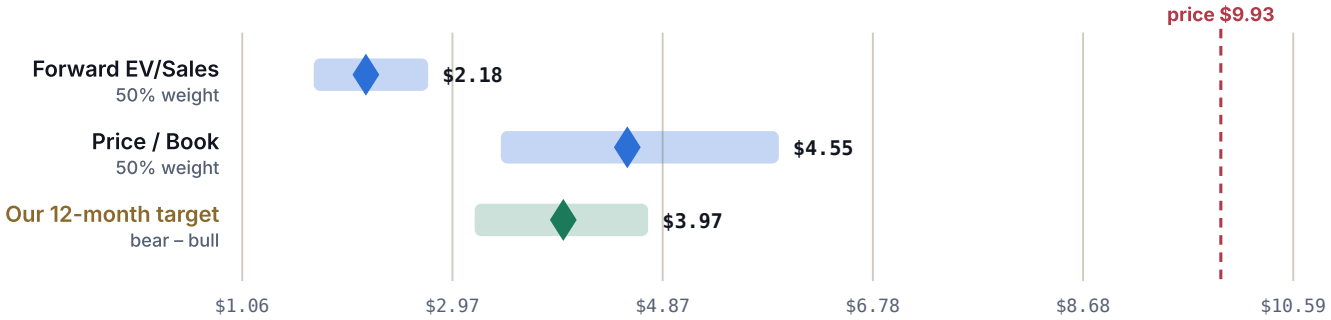
KEY DATA

Market cap	$4.51bn
Enterprise value	$4.36bn
Net debt	($149mn)
Net debt / EBITDA	net cash
EV / EBITDA (LTM)	-51.6x
P/E (LTM)	–

FCF yield (LTM)	**-1.8%**
Dividend yield	**–**
Beta	**1.00**
Diluted shares	**454mn**

02 VALUATION SUMMARY — WHAT EACH LENS SAYS

EXHIBIT 1 · VALUE PER SHARE BY LENS VS. PRICE, STREET AND OUR 12-MONTH TARGET



LENS	TYPE	FAIR VALUE TODAY	RANGE	WEIGHT	STATUS
~~Mid-cycle normalized EV/EBITDA~~	SECTOR	~~$0.62~~	~~$0.48 – $0.76~~	~~0%~~	EXCLUDED ~~implausible: 0.1x the current price~~
Forward EV/Sales	RELATIVE	$2.18	$1.72 – $2.74	50%	USED
Price / Book	RELATIVE	$4.55	$3.41 – $5.92	50%	USED
Blended fair value (today)		**$3.37**	**$2.57 – $4.33**		
× (1 + Ke) − dividends → model 12-month target		$3.68			
No published target — NOT RATED		$3.37			NR

Confidence: Low

- only two lenses produced a value
- lens dispersion is moderate (CV 35%)
- a guardrail had to intervene

Guardrails & disclosures

Mid-cycle normalized EV/EBITDA excluded (0.1x the current price is outside the 0.2x–5x plausibility band).

Target 3.68 fell outside 0.4x–2.5x the price and was limited to the band edge.

03 THE LENSES IN DETAIL

Each lens is an independent answer to *what is a share worth?* Relative lenses apply a target multiple to forward numbers; the DCF values the cash flows; sector lenses use the model that fits the business. Every input is shown so any number can be challenged.

Mid-cycle normalized EV/EBITDA SECTOR

$0.62

$0.48 – $0.76 · 0% weight

Through-cycle EBIT margin	5.5%
Spot EBIT margin	-109.9%
Normalized EBITDA	$0.01bn
EV/EBITDA multiple	16.2x (through-cycle default)
Enterprise value	$0.13bn
+ Net cash	$0.15bn
Value per share	$0.62

Commodity spot margins mislead at cycle peaks and troughs; this normalises to the through-cycle average margin and multiple.

Forward EV/Sales RELATIVE

$2.18

$1.72 – $2.74 · 50% weight

NTM revenue	$0.08bn (+25% vs last year)
Anchor EV/Sales	12.0x — Uranium reference 12.0x (no usable peer set)
Growth factor	×1.20
Profitability factor	×0.70 (loss-making)
Target EV/Sales	10.1x
Value per share	$2.18

For companies where earnings do not yet measure value: a sales multiple sized to growth and (lack of) profitability.

Price / Book RELATIVE

$4.55

$3.41 – $5.92 · 50% weight

Book value / share	$2.17
Anchor P/B	3.5x — Uranium reference 3.5x (no usable peer set)
Returns factor (ROE / Ke)	×0.60 (ROE -8.9%)
Target P/B	2.10x
Value per share	$4.55

Asset-based anchor for loss-making or early-stage companies: book value times a multiple scaled by returns on equity relative to the cost of equity.

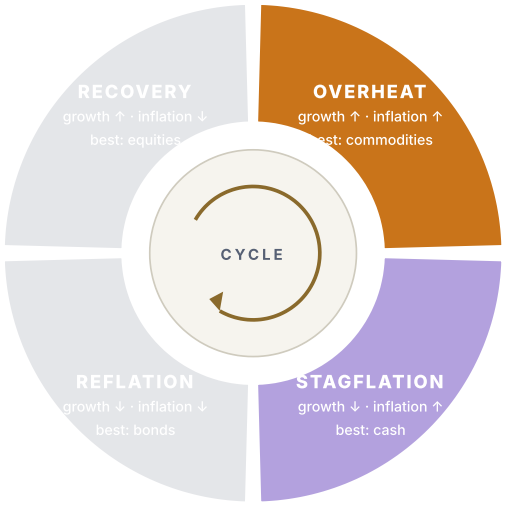
04 EARNINGS QUALITY & CYCLE

Trailing EPS	($0.20)
Consensus EPS FY2026	($0.11)
Consensus EPS FY2027	–
NTM EPS used	**($0.11)**
Through-cycle (historical average) EPS	($0.07)
Forward ÷ through-cycle	–
Durable EPS growth used	15.0%
Earnings-durability factor on multiples	×1.00
Basis	consensus (single year)

Cyclical or in an earnings inflection. revenue fell 100% in a single year; EBIT margin has swung 115pts peak-to-trough; commodity / capital-cycle industry.

Growth source: historical revenue CAGR (capped at 15%); capped at sector growth (cyclical). Multiples price *durable* growth, so a one-year recovery step is never extrapolated, and when forward EPS is far above what the business has historically earned the target multiple is scaled down — the market pays less for peak earnings.

05 WHERE IT SITS ON THE INVESTMENT CLOCK



Overheat and **Stagflation** are the phases in which Energy has historically led, on the classic Merrill Lynch Investment Clock sector map (growth × inflation, rotating clockwise: Recovery → Overheat → Stagflation → Reflation).

Illustrative sector affinity, not a call on where the economy is today: this tool reads company fundamentals and consensus, not macro data. Use it to ask whether the thesis above needs the cycle to cooperate.

06 FINANCIAL SUMMARY & VALUATION

$, PER SHARE WHERE NOTED	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E
Revenue	$224,000	$67mn	$84mn	$94mn	$104mn	$112mn
growth	-99.9%	+29737.9%	+25.0%	+12.9%	+10.0%	+7.8%
EBITDA	($31mn)	($85mn)	($38mn)	($38mn)	($37mn)	($35mn)
EBIT margin	-25246.9%	-109.9%	-50.0%	-45.2%	-40.5%	-35.7%
EPS	($0.07)	($0.20)	($0.09)	($0.09)	($0.09)	($0.08)
FCFF/share	($0.24)	($0.17)	($0.08)	($0.08)	($0.08)	($0.08)
EV/EBITDA	-139.5x	-51.6x	-115.0x	-113.8x	-117.2x	-125.3x
P/E	—	—	—	—	—	—
FCF yield	-2.5%	-1.8%	-0.8%	-0.9%	-0.8%	-0.8%

Multiples struck at the current price/EV against each year's estimates. Forecast EPS approximates net income as (EBIT − LTM interest) × (1−t).

07 FINANCIAL MODEL — HISTORICALS & PROJECTED P&L

FISCAL YEAR	REVENUE	GROWTH	EBIT	MARGIN	NET INCOME	EPS
2022A	$23mn	—	($19mn)	-81.8%	$5mn	$0.02
2023A	$164mn	+609.8%	$9mn	5.5%	($3mn)	($0.01)
2024A	$224,000	-99.9%	($57mn)	-25246.9%	($29mn)	($0.07)
2025A	$67mn	+29737.9%	($73mn)	-109.9%	($88mn)	($0.20)
2026E	$84mn [A]	+25.0%	($42mn)	-50.0%	($48mn)	($0.11) [A]
2027E	$94mn	+12.9%	($43mn)	-45.2%	($44mn)	($0.10)
2028E	$104mn	+10.0%	($42mn)	-40.5%	($43mn)	($0.10)
2029E	$112mn	+7.8%	($40mn)	-35.7%	($41mn)	($0.09)
2030E	$119mn	+6.3%	($37mn)	-31.0%	($38mn)	($0.08)
2031E	$125mn	+5.2%	($33mn)	-26.2%	($34mn)	($0.08)
2032E	$131mn	+4.5%	($28mn)	-21.5%	($29mn)	($0.06)
2033E	$136mn	+3.9%	($23mn)	-16.7%	($24mn)	($0.05)
2034E	$141mn	+3.5%	($23mn)	-16.7%	($25mn)	($0.05)
2035E	$144mn	+2.5%	($24mn)	-16.7%	($26mn)	($0.06)

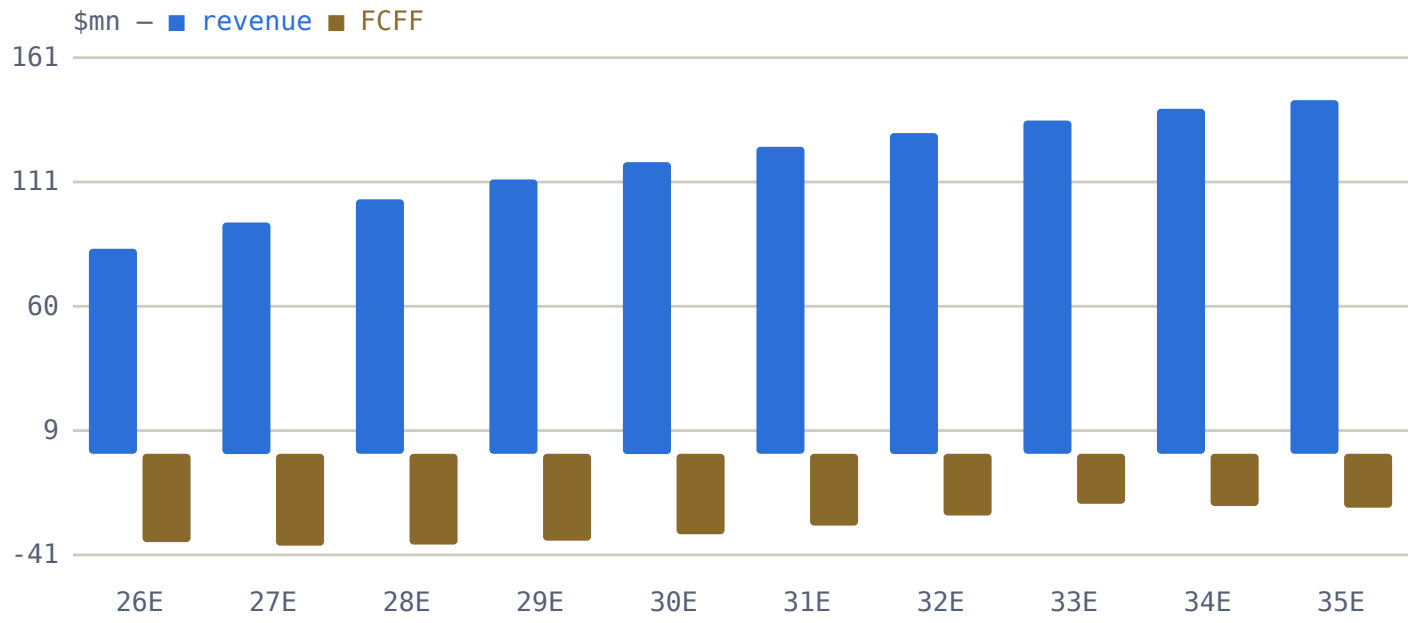
"A" marks figures taken directly from analyst consensus; other forecast rows are the DCF base case with flat interest and the normalised tax rate.

08 DCF CROSS-CHECK — DRIVERS & SENSITIVITY

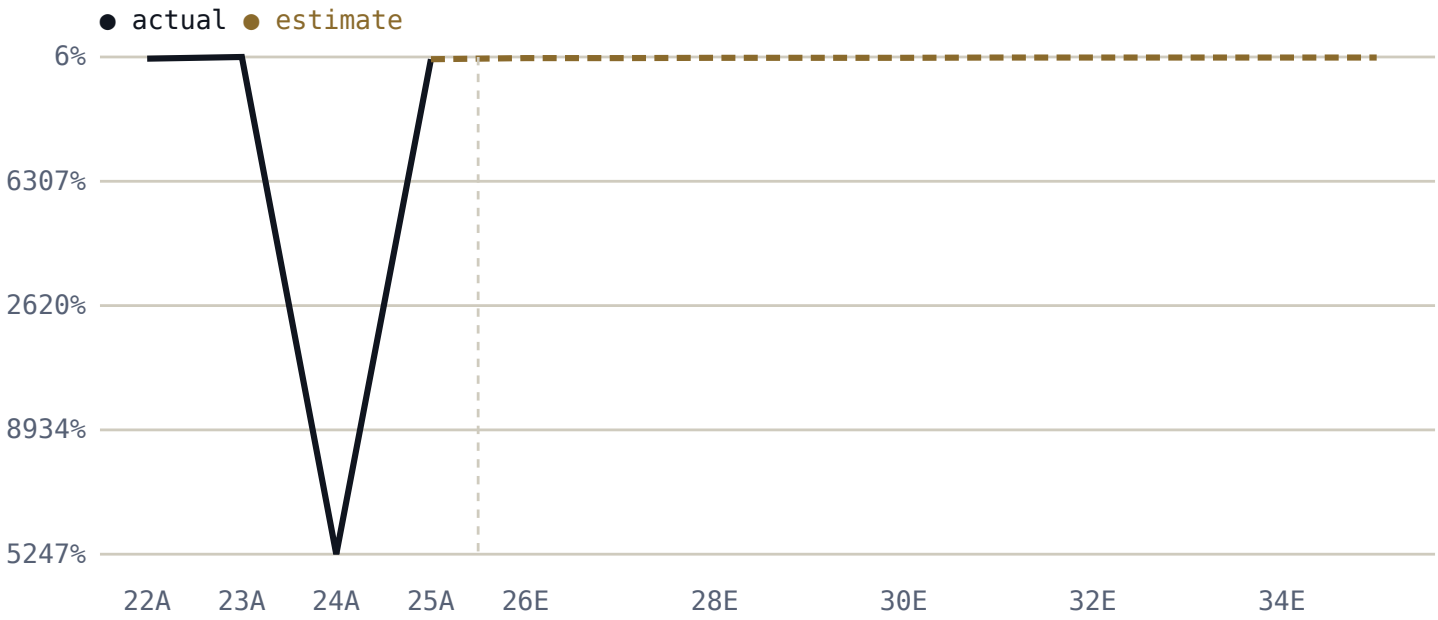
DRIVER	PATH	WHY
Revenue growth	25.0% → 2.5% over 10y	Year 1 follows consensus revenue for FY2026. Growth then decays geometrically from 17.0% to the 2.5% terminal rate as revenue compounds toward $0bn — competitive entry and the law of large numbers compress incremental growth; no single year's step is ever extrapolated.
EBIT margin	-109.9% → -50.0% → -16.7% (expands)	Reported margin is -109.9%; year-1 margin is -50.0%. This is a cyclical business, so we revert 60% of the way toward the through-cycle average of 5.5%, landing at -16.7% — crediting some but not all of current profitability as durable.
Reinvestment (capex)	4.7% → 5.1% of sales	Starts at the historical capex intensity (4.7%) against D&A of 4.6%, converging to 1.10x D&A by the terminal year — a steady state that funds growth without permanent over- or under-investment.

DRIVER	PATH	WHY
Working capital	-10.0% of Δrevenue	Incremental working capital absorbs -10.0% of each year's revenue increase (historical median) — a source of cash (negative working-capital model).
Tax rate	10.0%	Normalised to the trailing effective rate of 10.0%, applied to EBIT to derive NOPAT.
Terminal growth	2.5%	At or below long-run nominal GDP (4.0%); a mature going concern cannot outgrow the economy in perpetuity. Terminal reinvestment is g/ROIC.

REVENUE & FCFF



EBIT MARGIN PATH



EV → EQUITY BRIDGE



EXHIBIT · DCF VALUE PER SHARE, WACC × TERMINAL GROWTH (VS. PRICE)

WACC \ G	1.5%	2.0%	2.5%	3.0%	3.5%
7.9%	$-0.45	$-0.45	$-0.45	$-0.46	$-0.46
8.6%	$-0.39	$-0.40	$-0.40	$-0.40	$-0.40
9.4%	$-0.35	$-0.35	**$-0.35**	$-0.35	$-0.35
10.1%	$-0.31	$-0.31	$-0.31	$-0.31	$-0.31
10.9%	$-0.27	$-0.27	$-0.27	$-0.27	$-0.27

Shaded against the current price: green = above, red = below. Outlined cell = base case.

The business earns **-1.2%** on capital against a **9.4%** cost of capital — a negative spread of **1056bps**. Growth here **destroys** value, so terminal assumptions deserve scrutiny.

Model diagnostics

Terminal EV/EBITDA vs today	13.6x implied vs -63.2x current	RICH
Terminal ROIC vs WACC	-1.2% vs 9.4%	VALUE-DESTRUCTIVE

09 RATIO ANALYSIS — LEVERAGE, COVERAGE & RETURNS

METRIC	FY2022A	FY2023A	FY2024A	FY2025A
Net debt / EBITDA	-4.0x	-121.6x	5.0x	1.8x
EBIT / interest	-12.5x	11.2x	-68.4x	-50.8x
ROE	1.6%	-0.5%	-3.8%	-8.9%

METRIC	FY2022A	FY2023A	FY2024A	FY2025A
ROIC (NOPAT/IC)	-5.8%	1.4%	-8.2%	-7.9%
FCF conversion (FCFF/NOPAT)	307%	817%	219%	108%
Capex / D&A	0.88x	0.33x	1.57x	1.27x

10 FACTOR SENSITIVITY MAP — WHAT MOVES THIS STOCK

TYPE	FACTOR	EXPOSURE	EVIDENCE	WHY / MECHANISM
Macro	**Interest rates / discount rate**	LOW	75bps of WACC ≈ $0.04/sh (-13%); TV = 33% of EV	Long-duration cash flows: the further out the value sits (terminal-heavy), the more a shift in rates or the equity risk premium re-prices the stock, independent of operations.
Macro	**Economic cycle / demand**	HIGH	Revenue growth volatility σ = 354.8% over 2y	Historical top-line dispersion is the cleanest read on cyclicality: a stable compounding base decouples from GDP; a volatile one imports the macro cycle into earnings.
Macro	**Inflation / input costs**	LOW	−100bps EBIT margin ≈ −$0.03/sh; margin σ = 10905.4%	Cost pass-through is the test: firms with pricing power hold margin through inflation; historical margin volatility shows how much of past cost shocks reached the P&L.
Macro	**Credit & refinancing**	LOW	Net cash position; EBIT/interest = -50.8x	A net-cash balance sheet removes refinancing risk and turns higher rates into interest income rather than a cost.
Macro	**Commodity prices**	HIGH	Spot margin -110% vs through-cycle 6%	Realised prices set margins more than management does; the gap between spot and mid-cycle margin is the mean-reversion risk embedded in today's earnings.
Micro	**Competitive erosion**	HIGH	ROIC−WACC spread = -1,056bps	Excess returns invite entry: the wider the spread, the bigger the prize for competitors — but also the bigger the buffer before growth stops creating value. A thin spread means small competitive slippage flips growth to value destruction.
Micro	**Capital intensity**	LOW	Capex/D&A = 1.02x; capex = 4.7% of sales	Above 1x, the business must keep buying its own growth — FCF conversion stays hostage to the reinvestment cycle; below 1x, depreciation overstates true capital needs and cash conversion runs ahead of earnings.
Micro	**Pricing power / margin stability**	HIGH	EBIT margin σ = 10905.4% (range -25247%–6%)	Stable margins across cycles are the fingerprint of pricing power; wide swings say the company is a price-taker whose profitability belongs to the environment, not the franchise.

11 CATALYSTS & WHAT EACH LEVER IS WORTH

- **Cost of capital:** every 75bps of WACC moves fair value by ≈$0.04/share (-13%). Rate path and the equity risk premium are the single biggest swing factor.
- **Terminal growth:** 50bps of perpetuity growth is worth ≈$0.00/share — the market's read on the company's long-run competitive position.
- **Operating margin:** each 100bps of EBIT margin across the forecast is worth ≈$0.03/share — watch pricing power, mix and cost discipline in quarterly prints.
- **Top-line delivery:** our base assumes 25.0% year-one growth fading to 2.5%; sustained beats/misses versus that glide path are the cleanest re-rating trigger either way.

12 KEY RISKS

- Through-cycle margin and multiple are estimates; a structurally lower commodity price or cost inflation would reset the normalised earnings base.
- Low-confidence valuation: the lenses disagree or the inputs carry data-quality flags. Treat the target as indicative.
- Estimate risk: consensus forecasts can be revised sharply, and the forward-multiple lenses move one-for-one with the earnings they are applied to.
- Multiple risk: target multiples are anchored on sector medians; a de-rating of the peer group lowers the target regardless of company performance.
- Single third-party data source: restatements, non-recurring items or classification differences can shift the output.

Methodology & disclaimer. Generated by an automated, sector-aware valuation engine from public data (Yahoo snapshot as of 2026-07-08). UEC was classified as **Cyclical / Commodities (mid-cycle multiples + DCF)**. The 12-month price target triangulates several lenses — target multiples on consensus forward earnings (peer/sector-anchored and adjusted for durable growth, leverage and earnings durability), a 10-year DCF with decaying growth and mean-reverting margins, and sector-specific models — weights them by profile, applies plausibility guardrails, rolls the result forward at the cost of equity net of dividends, and lightly anchors it to Street consensus when available. Reference multiples are long-run developed-market medians; live peer medians replace them when fetched. Forward numbers come from analyst consensus where available and from reported figures otherwise; they are not a substitute for fundamental judgement. Nothing here is investment advice, a recommendation, or an offer to transact. Do your own due diligence.